

More Bad Advice: The Wrong Crowd

HAS THIS EVER happened to you?

You're about to make a new investment—you've done all of your research, you're ready to go—but just before you pull the trigger, someone says *something* to create some doubt about a company, the market, or the economy. They get in your head, create self-doubt, and you hesitate. To be safe, you decide to do a little more homework—and the next thing you know, that stock or market is off to the races without you. All you can think is, “Thanks for nothing, buddy.”

It's not just the folks writing dumb books or appearing on TV that offer bad advice—it's *all around you*. To guard against it, stay away from the following people:

- **The Tipster:** The well-connected guy with the hot story: An announcement is *imminent*. He is excited about [fill in the blank], but even more jazzed about his sources. “I know the head trader at a hedge fund/wire house desk/The FDA/Board of directors.” For a guy supposedly so plugged in, his track record is stunningly poor.
- **The Articulate Incompetents:** In his book *The Tao Jones Averages*,⁶³ Bennett Goodspeed described a specific type of Wall Streeter who goes on TV to tout the latest product as “Articulate Incompetents.” The more confident they sound on TV, the more likely TV viewers are to believe them. Most are simply slick salesmen using the right buzzwords and sporting very poor track records.
- **The Enthusiast:** He's always breathlessly recounting the latest company on the verge (“Big news due out any day!”); someone is about to “snap these guys up.” He's entranced with new management (“New CFO was employee No. 12 at Google!”). We've all been